mentorship he practiced was subtle and there was no attempt to preach or coach. But sometimes Talwar also got it wrong. His support to a relative junior, and an open declaration that he would like to see him as the Chairman after him, greatly antagonized his senior colleagues. While the officer concerned was competent enough, there was nothing extraordinary in his abilities to merit such elevation.

SMALL IS CREDITWORTHY

Although the concept of small-scale industry had yet to develop at the time of the Imperial Bank, that bank did finance industries like cotton ginning mills, and rice, flour, and oil mills, which were granted working capital loans against pledge or hypothecation of stocks. However, these were the exception rather than the rule, and the majority of these so-called small industries were unable to secure bank finance because of their inability to provide acceptable security. Before the SBI was set up, the AIRCS had also remarked that the new institution (SBI) could be of assistance in financing small and cottage industries when these were not organized on a cooperative basis. Credit agencies like the State Finance Corporations, the National Small Industries Corporation, and the State Governments provided credit but there was no coordination between all these agencies.

In 1955, after the SBI was set up, a committee under its Chairman, John Matthai was appointed to examine the flow of credit to the small-scale sector. The immediate impulse for the formation of such a committee was a note submitted by S.V. Ramamurty, the President of the bank's Local Board in August 1955 which emphasized the need for extending credit to small-scale industries on the lines of large industries. The Committee suggested identification of rural and urban centres with important cottage and small industries and banking facilities so that a pilot scheme could be initiated for extending credit to these industries. Nine centres, three each from the Bombay, Madras, and Bengal Circles were identified. By September 1956, the scheme had been introduced at all the nine selected centres. All small units with capital assets of up to ₹5 lakh and employing less than fifty workers with power and less than hundred workers without power, were to be eligible under the scheme.